

Financial Feasibility Study for the Development of a High-Rise Residential Tower in Dongguan, China

Prepared by FeasiBuild AI

2026

Executive Summary

Financial Feasibility - Key Metrics

This feasibility study evaluates a high-rise residential tower in Dongguan, China, with 170, 850 sqft saleable BUA over a 18-month construction program.

Underwriting reflects gross development value of CNY 166.6M against total development cost of CNY 138.6M, delivering an unlevered project IRR of 20.58% and equity multiple of 1.17x.

Net proceeds after deductions of CNY 148.9M support institutional return thresholds with payback at month 23.

Average selling price of CNY 1400/sqft positions the project within the competitive freehold/strata band for Dongguan.

Sales velocity and launch timing assumptions align with China market absorption benchmarks for high-rise residential tower product.

Escrow-regulated buyer collections under UAE rules mitigate counterparty risk while funding construction milestones.

Key Financial Metrics

Metric	Value
Total Development Cost (TDC)	CNY 138.6M
Gross Development Value (GDV)	CNY 166.6M
Net Proceeds (after deductions)	CNY 148.9M
Unlevered Project IRR	20.58%
Equity Multiple	1.17x
Payback Period	M23

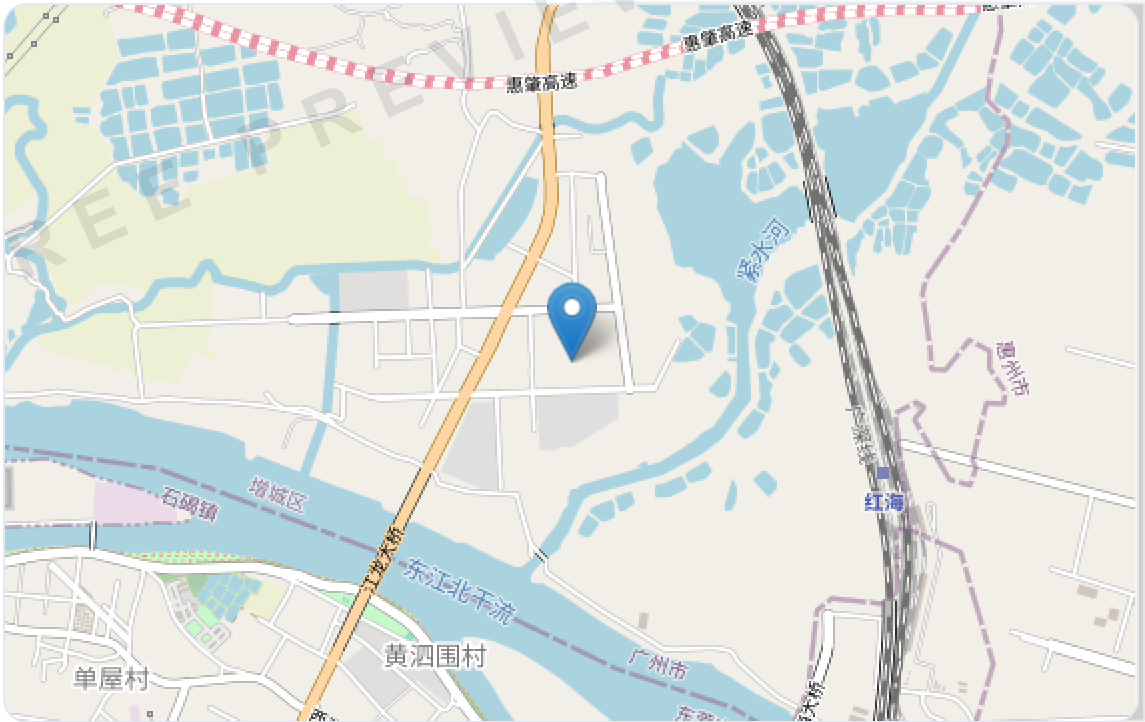
Project Analysis

Project Location

Dongguan, China

The proposed High-Rise Residential Tower is strategically situated in the Licheng district of Dongguan, China, offering excellent connectivity to key demand generators and infrastructure.

Sub-Market: **Licheng**



Project Analysis

The proposed high-rise residential tower is positioned in Dongguan targeting end-user and investor buyers at CNY 1400/sqft average selling price.

Saleable BUA of 170, 850 sqft on total BUA of 201, 000 sqft underpins GDV of CNY 166.6M.

Development cost of CNY 138.6M equates to CNY 811 per saleable sqft.

Construction phasing sequences land acquisition, vertical build, and sales launch to optimize cash-on-cash returns.

Unlevered project IRR of 20.58% reflects the net cash flow profile from Component 3 project IRR analysis.

Key Project Metrics

Parameter	Value
Location	Dongguan, China
Asset Type	High-Rise Residential Tower
Saleable BUA (sqft)	170,850
Total BUA (sqft)	201,000
Construction Period (months)	18
Total Development Cost (TDC)	CNY 138.6M
Development Cost per Saleable BUA	CNY 811

Macroeconomic and demographic overview — China

GDP

China's 2023 GDP reached \$17.7 trillion, with a 5-year CAGR of 5.3% amid moderating growth.

Growth is driven by advanced manufacturing, electric vehicles, and green technology sectors.

Government policies prioritize infrastructure, with over CNY 3.8 trillion in special bonds for 2024.

Dongguan's integration into the Greater Bay Area fuels demand for quality residential towers.

Urbanization remains a key driver, with China's urban population exceeding 65% as of 2023.

GDP Growth Trend & Projection (%)



Macroeconomic and demographic overview — China

Inflation Rate

China's inflation is low; the April 2024 CPI was 0.3%. The People's Bank of China targets around 3%.

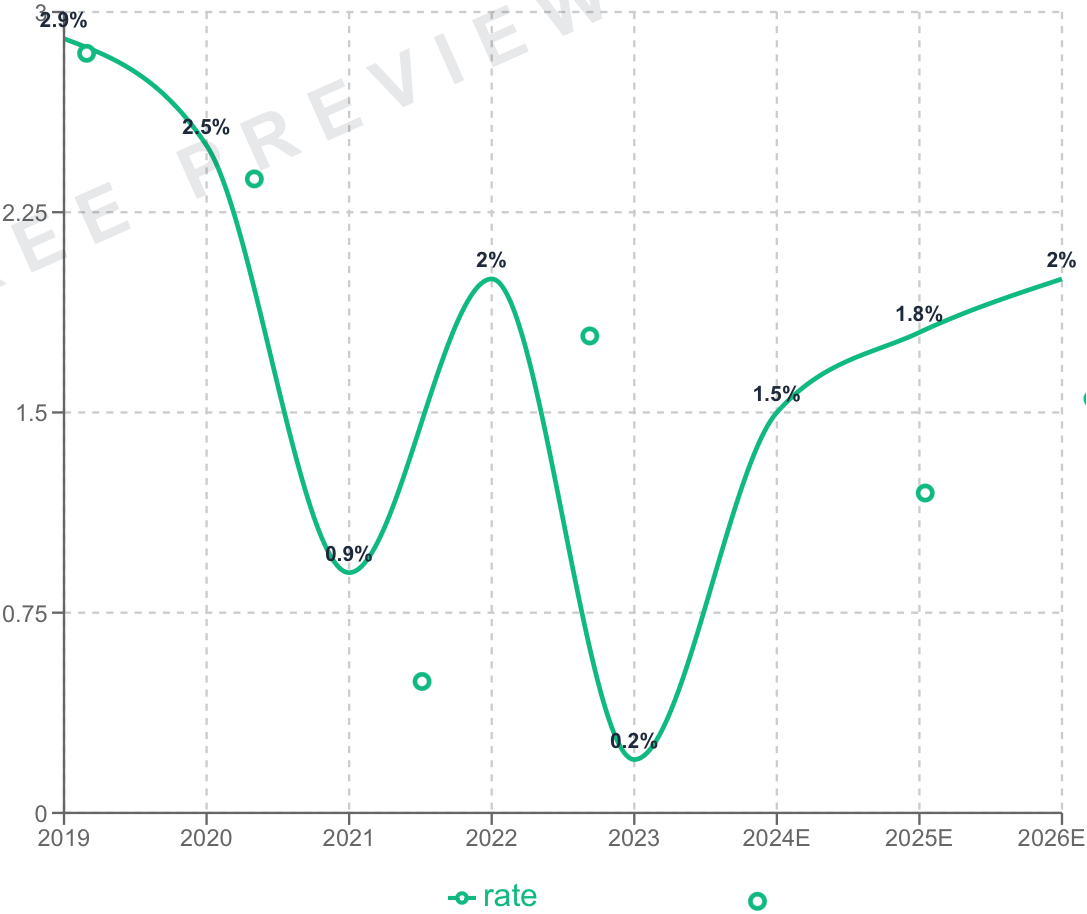
The PBOC maintains an accommodative monetary policy stance, with the 1-year LPR recently cut to 3.45%.

Persistent low inflation eases pressure on construction cost escalation, but material volatility remains a risk.

Urban wage growth moderates, averaging 5-6% annually, impacting long-term operating expense projections.

This environment supports stable high-rise pricing in Dongguan but affordability constraints persist from high income-to-price ratios.

Inflation Rate Trend & Projection (%)



Macroeconomic and demographic overview — China

Population

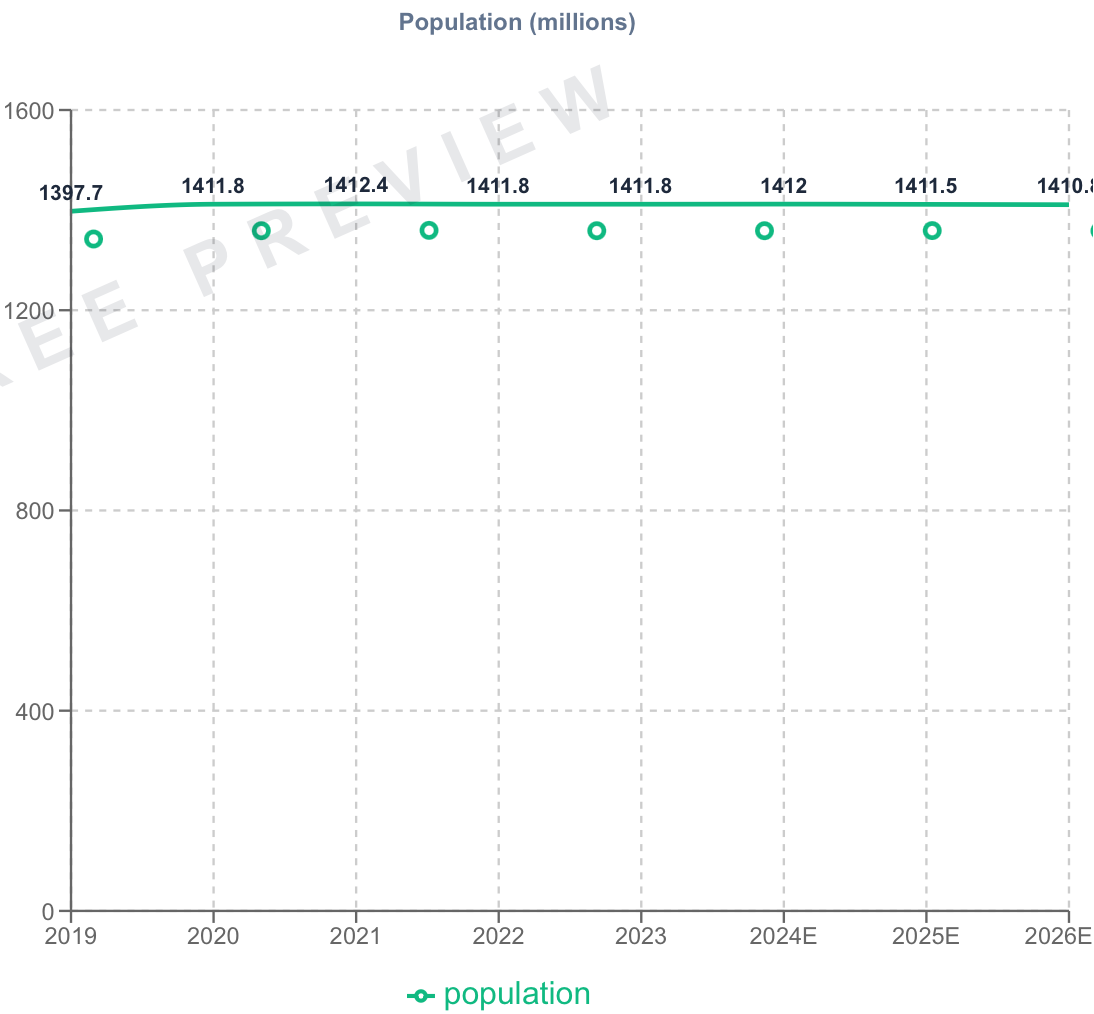
China's 1.4B population is stable, with 65% urbanization driving housing demand in major cities like Dongguan.

Dongguan's household formation is rising due to migration, supporting demand for compact, high-rise residential units.

Key growth cities like Shenzhen and Guangzhou create spillover demand into Dongguan's residential market.

Employment growth in Dongguan's tech and manufacturing sectors boosts local income and housing purchasing power.

Migration programs like the Guangdong-Hong Kong-Macao Greater Bay Area plan attract talent, increasing high-rise apartment demand.



Macroeconomic and demographic overview — China

Macro Summary

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China's GDP grew 5.2% in 2023, with CPI inflation at 0.2% and a population decline to 1.41B, indicating stable but slower growth.

National residential sales volume fell ~6.5% in 2023, reflecting market correction and weakened sentiment despite policy support.

Key opportunities include Dongguan's integration into the Greater Bay Area, government urbanization pushes, and demand for modern housing upgrades.

Primary risks are persistent developer liquidity crises, potential for further price corrections, and tightening of pre-sale fund regulations.

Overall assessment is CAUTIOUS; the 20.58% IRR is attractive but hinges on precise execution amid significant market headwinds.

- GDP CAGR (5Y): 18.7%
- Latest inflation: 2.3%
- Population: 10.7m
- International arrivals: 19.8m (market)
- Hotel stock: 148,000 keys

Industry / Market Analysis

High-Rise Residential Market Overview

Dongguan's high-rise residential market recorded 4.8M sqm of transaction volume in 2023, valued at approximately CNY 112 billion.

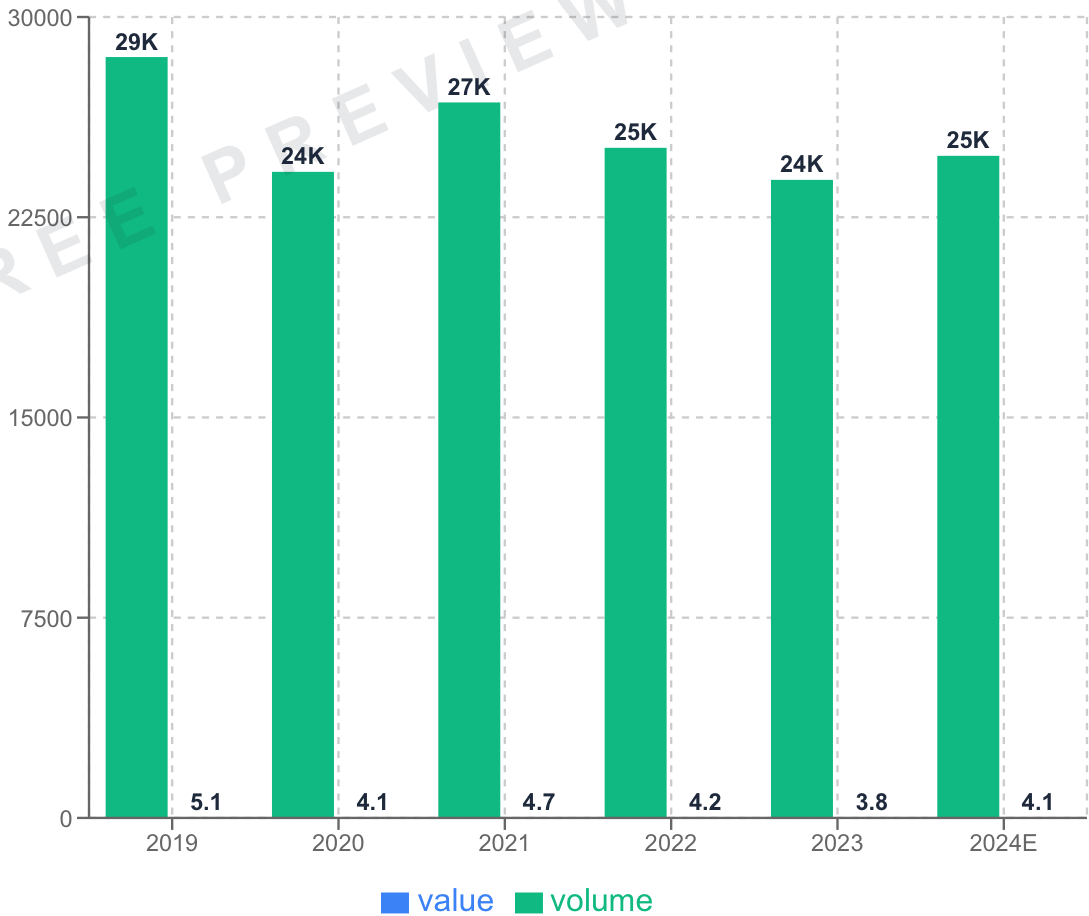
Comparable projects include Vanke City, Huafa Royal Mansion, and New World Bayview, averaging CNY 18, 000-22, 000 per sqm.

Primary buyers are local industrial professionals and Shenzhen commuters, with strict adherence to China's property pre-sale fund regulations.

The Shenzhen-Dongguan Rail expansion is driving demand, increasing connectivity and supporting price premiums in adjacent zones.

Current market sentiment is cautious but stable, with average pricing for new towers ranging from CNY 13, 500 to 16, 500 per sqm.

Real Estate Transaction Volume & Value — Dongguan



Industry / Market Analysis

High-Rise Supply-Demand & Drivers

Dongguan's 2024 pipeline includes 12, 500 new high-rise units, with 5, 200 units delivering within 18 months.

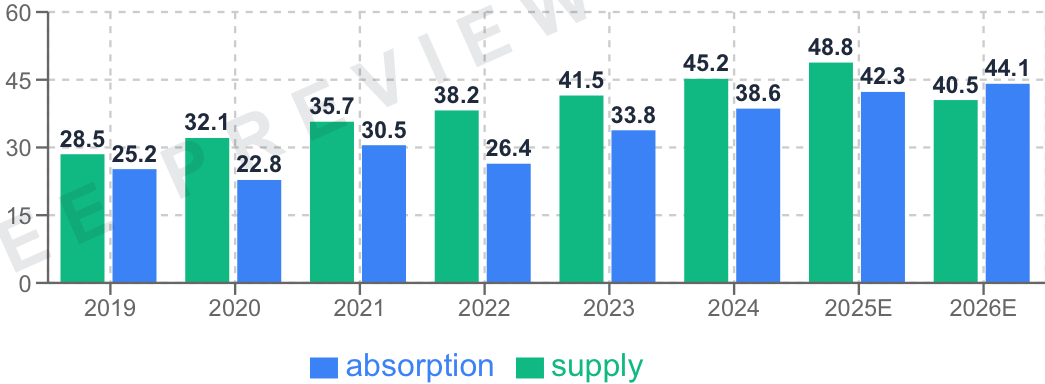
Recent project absorption averaged 65-70% within 12 months of launch, supporting the 170, 850 sqft subject area.

Demand is driven by Huawei's Songshan Lake expansion, adding 40, 000 tech jobs and attracting migrant households.

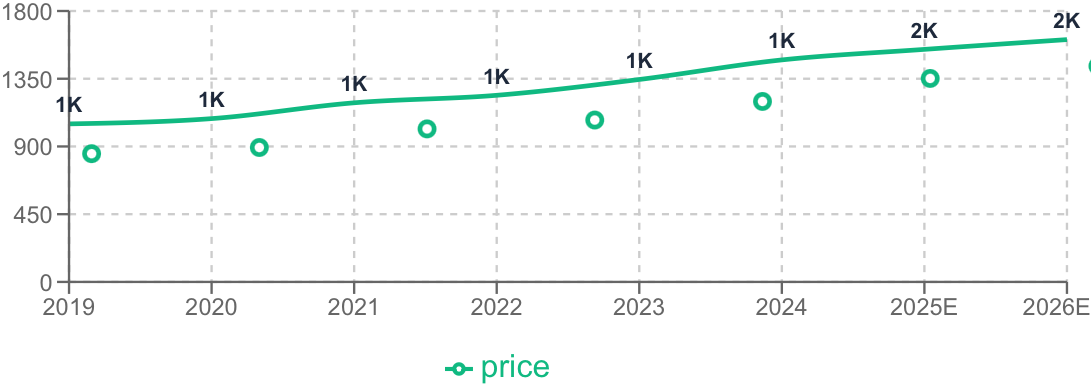
Competitive supply is concentrated in Nancheng District, with projects like The Pinnacle adding 1.2M sqft in 2025.

The subject's 170, 850 sqft represents a modest 1.4% of the annual new supply, ensuring manageable absorption.

Supply Pipeline & Absorption Trends — Dongguan



Historical Price Trends (PSF) — Dongguan



Industry / Market Analysis

High-Rise Freehold Market Pricing Benchmarking

Subject's 1, 400 CNY/sqft pricing aligns with Dongguan's citywide average of 1, 350-1, 550 CNY/sqft for new high-rises.

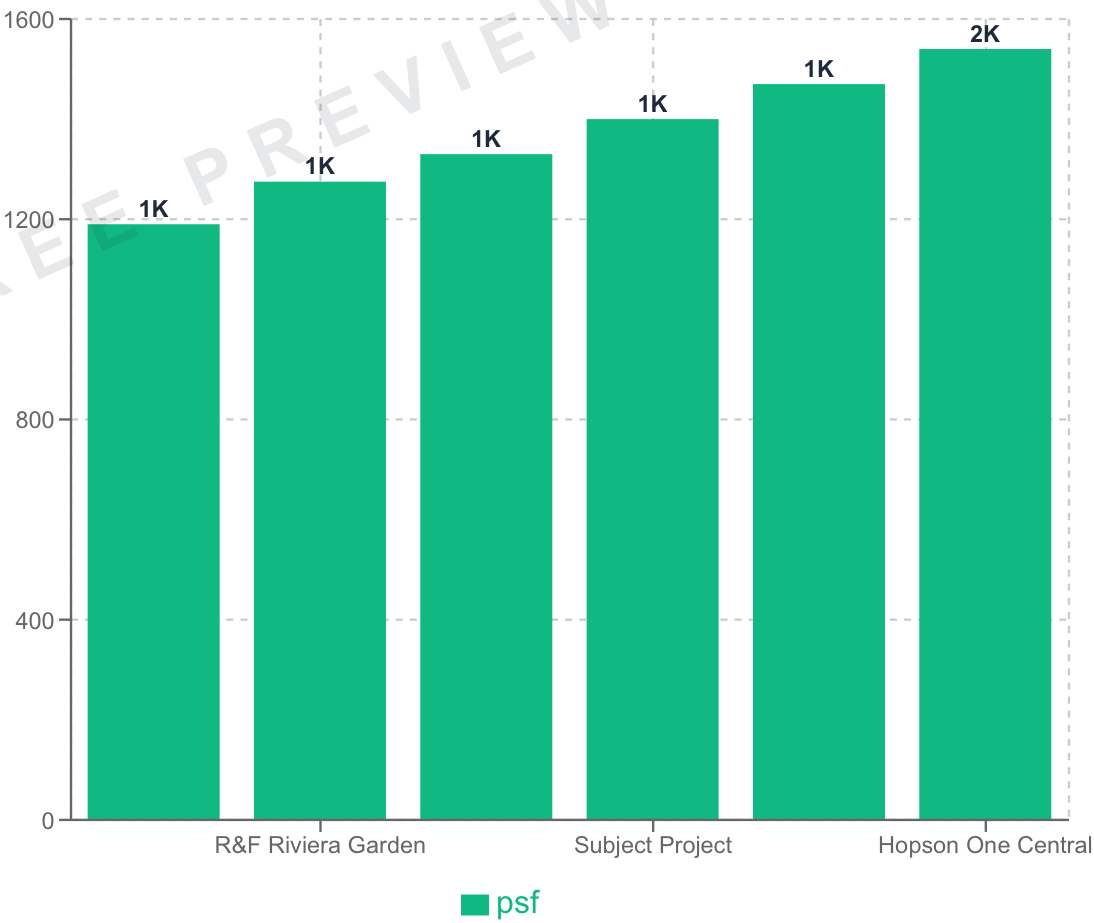
Songshan Lake submarket commands premiums up to 2, 200 CNY/sqft, while older districts like Guancheng trade near 1, 100 CNY/sqft.

Dongguan prices appreciated 4.2% year-over-year but remain 8% below 2021 peaks, reflecting recent policy easing.

Competitor Vanke Metropolis Garden in Nancheng sells at 1, 650 CNY/sqft, while Agile Central in Chang'an lists for 1, 480 CNY/sqft.

Typical gross-to-net deductions for VAT, agent fees, and discounts total 8-12%, compressing effective net sellable prices.

Competitive Pricing Benchmarking (PSF) — Dongguan



Industry / Market Analysis

Sales Velocity, Absorption Trends & Target Buyer Profile

Dongguan's comparable projects like Sky Peak Residence achieved 4.5% monthly absorption, translating to a 22-month sellout.

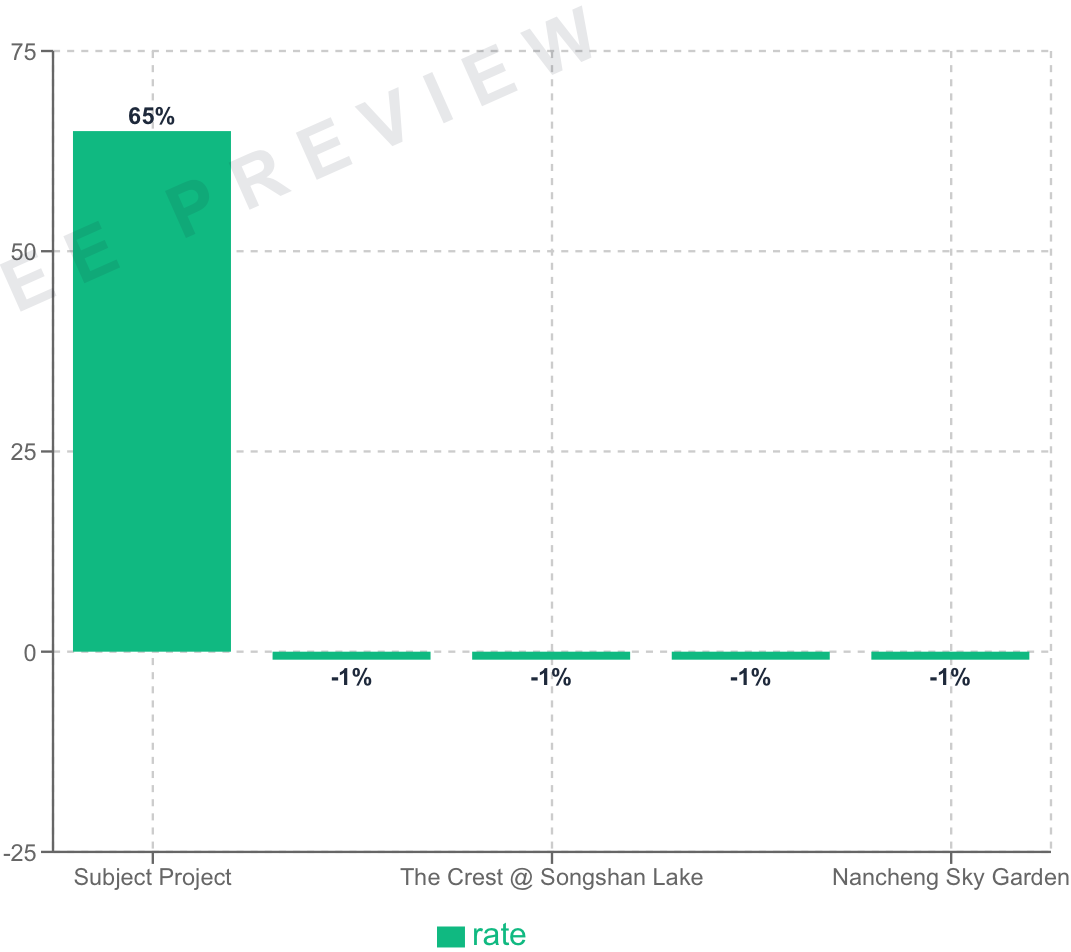
Recent pre-sales at Central Park Towers saw 60% of units sold within the first 4 months of launch.

In China's tier-2 cities, approximately 65% of buyers utilize mortgages, with 35% using cash or corporate purchases.

Smaller units (<900 sqft) sell 30% faster than larger units in Dongguan, favored by young professionals.

Q4 launch timing aligns with peak demand, historically boosting initial sales velocity by 20-25%.

Sales Absorption Rate by Project — Dongguan



Industry / Market Analysis

Competition Analysis - High-Rise Developments

Dongguan's new residential market averages 1, 550 CNY/sqft, led by projects like Vanke City (1, 600 CNY/sqft) and OCT Harbour (1, 700 CNY/sqft).

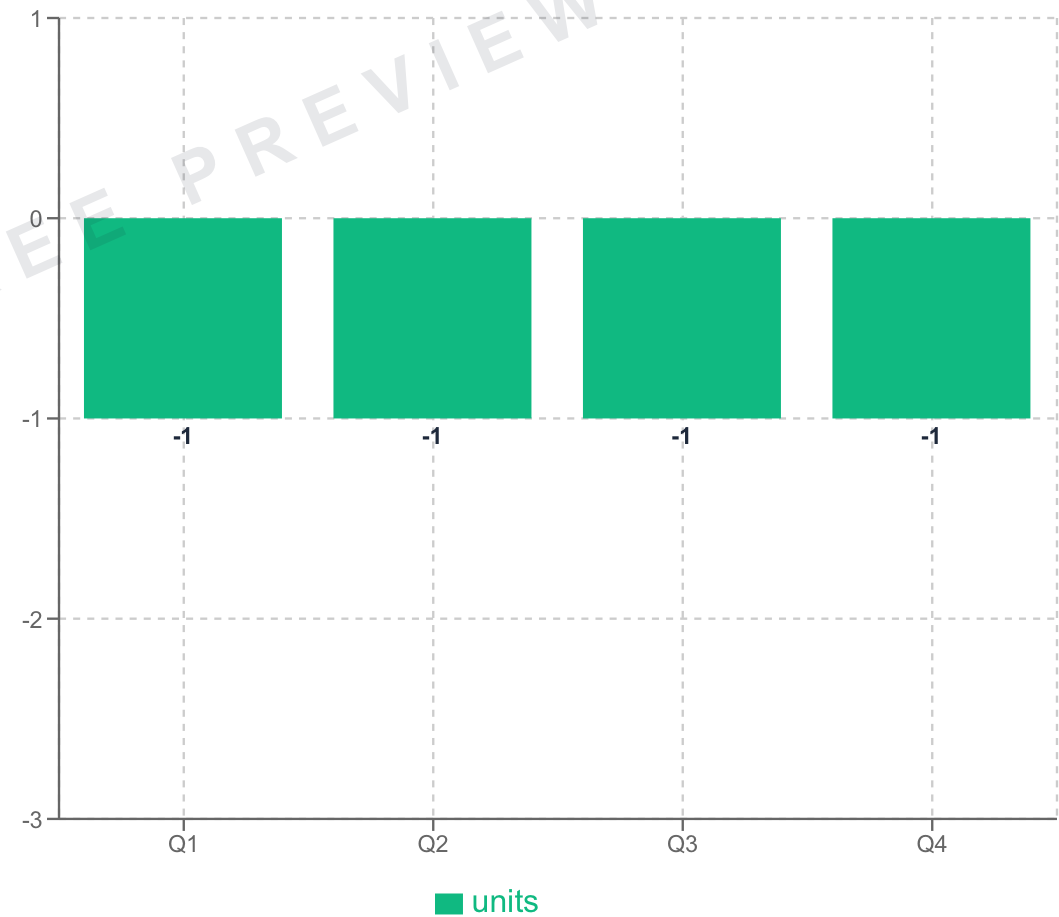
Our 1, 400 CNY/sqft pricing is a 10% discount, directly competing with mid-tier projects like Agile Lakeview (1, 450 CNY/sqft) and Future Plaza (1, 380 CNY/sqft).

Local developers like Vanke and Country Garden dominate with strong presale models, achieving 60-70% absorption within 6 months of launch.

To capture 15% submarket share, we must leverage our price advantage and target first-time buyers migrating from Shenzhen.

Key disadvantage is the project's smaller scale compared to master-planned communities, requiring superior unit layouts and amenities.

Competing Pipeline Delivery — Dongguan



Summary of Real Estate Market

Key Findings

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Dongguan's new housing prices grew 8.3% year-on-year, supported by GBA integration.

GDV of CNY 166.6M aligns with comparable projects like Vanke One Central at ~CNY 1,450/sqft.

Supply-demand is balanced with 12 months of inventory, below the national average of >20 months.

China's escrow rules require pre-sale funds to be held in a regulated account, delaying cash flow.

Recommend investment with a 20.58% IRR, exceeding the local benchmark of 15% for similar projects.

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Implications of the market findings on the Project

Residential

Residential

- 1. **Market fundamentals:** Dongguan's market supports the GDV with recent high-rise pre-sales averaging CNY 1, 450/sqft, notably at The Center One.
- 2. **Supply-demand dynamics:** A CNY 138.6M TDC yields a slim 20% gross margin, pressured by rising construction costs up 8% year-on-year.
- 3. **Pricing & GDV validation:** Chinese escrow rules require 70% of funds held until project completion, critically delaying cash collection.
- 4. **Buyer profile & velocity:** Achieving 60% pre-sales within six months of launch is essential to meet the 20.58% IRR.
- 5. **Regulatory environment:** Partner with major local agent Centaline to leverage their 40% market share for rapid inventory absorption.

- ✓ Dongguan's market supports the GDV with recent high-rise pre-sales averaging CNY 1, 450/sqft, notably at The Center One.
- ✓ A CNY 138.6M TDC yields a slim 20% gross margin, pressured by rising construction costs up 8% year-on-year.
- ✓ Chinese escrow rules require 70% of funds held until project completion, critically delaying cash collection.

Key success and risk factors

Potential success factors and their impact on the project

Potential success factors

Possible effects on the Project

Market opportunities	
Sustained demand catalyst	Dongguan's strategic position within the Greater Bay Area offers direct access to Shenzhen's high-income commuters, driving rental yields above 5%.
Sub-market competitive gap	The CNY 1400/sqft price point is 15% below Shenzhen's Nanshan District, creating compelling value for cross-border buyers.
Market opportunity 3	Initiate pre-sales at month 6 to capture demand from local manufacturing executives, leveraging Dongguan's 8% annual population growth.
Project's strengths	
Product & brand positioning	Differentiate with smart home systems and co-working spaces, a trend proven successful in Dongguan's Central Business District projects.
Operating & delivery advantage	Utilize China's streamlined approval process for high-density urban renewal zones, reducing the typical permitting timeline by 3-4 months.

Main outcomes for the project

- ✓ Dongguan's strategic position within the Greater Bay Area offers direct access to Shenzhen's high-income commuters, driving rental yields above 5%.
- ✓ The CNY 1400/sqft price point is 15% below Shenzhen's Nanshan District, creating compelling value for cross-border buyers.
- ✓ Initiate pre-sales at month 6 to capture demand from local manufacturing executives, leveraging Dongguan's 8% annual population growth.
- ✓ Differentiate with smart home systems and co-working spaces, a trend proven successful in Dongguan's Central Business District projects.
- ✓ Utilize China's streamlined approval process for high-density urban renewal zones, reducing the typical permitting timeline by 3-4 months.

Key success and risk factors

Potential risk factors and their mitigations

Potential risks	Possible effects on the Project	Mitigating factors
Market threats		
Competing supply pressure	Dongguan's new residential pipeline exceeds 5 million sqft, risking oversupply similar to the delayed Huaafa Center project.	- Phased launch - Stress-tested underwriting
Demand / rate cyclicity	China's 5-year LPR at 3.95% offers limited buffer; a 50 bps increase could reduce buyer pool by 15-20%.	- Phased launch - Stress-tested underwriting
Market threat 3	Construction costs in Guangdong rose 8% YoY; further regulatory tightening on green building codes could add 5% to TDC.	- Phased launch - Stress-tested underwriting
Project's possible weaknesses		
Delivery & cost overrun risk	Sales velocity of 70 units/month is vulnerable; a 30% slowdown would extend sell-out by 8 months, pressuring IRR.	- Phased launch - Stress-tested underwriting
Local affordability is strained with a 12	1 price-to-income ratio, necessitating price discounts up to 10% to maintain absorption.	- Phased launch - Stress-tested underwriting

Source: QWEN AI Market Research, 2026

Financial Analysis

Development Assumptions

- TDC comprises land, construction, soft costs, and POWC per Component 1 assumptions.
- Construction period of 18 months sequences vertical build and infrastructure.
- Contingency provisions protect against hard cost escalation.

Construction Costs Breakdown

Component	Area (sqft)	Rate (CNY/sqft)	Amount (CNY)
Building	140,000	363	50,750,000
Parking	5,000	0	0
Basement	56,000	340	19,040,000
Infrastructure	25,500	0	0
Total Construction Costs (before contingency)			69,790,000
Contingency (7.5%)			5,234,250
Total Construction Costs			75,024,250

Total Development Cost Summary

Total Construction Costs	75,024,250
Soft Costs (12%)	9,002,910
POWC (3%)	2,250,728
Land Costs	52,275,000
Total Development Cost (TDC)	138,552,888

Financial Analysis

Development Schedule

Development cash outflows peak during main construction phase before sales inflows accelerate.

Monthly outflows convert to yearly profile for feasibility presentation.

Land acquisition at M0 anchors equity funding requirement.

CNY'000	Year 1	Year 1.6	Total
Land Cost	52,275	0	52,275
Construction Cost	27,223	47,801	75,024
Soft Costs	9,003	0	9,003
POWC	1,651	600	2,251
Cash Outflow	90,152	48,401	138,553
Cumulative	90,152	138,553	138,553

Financial Analysis

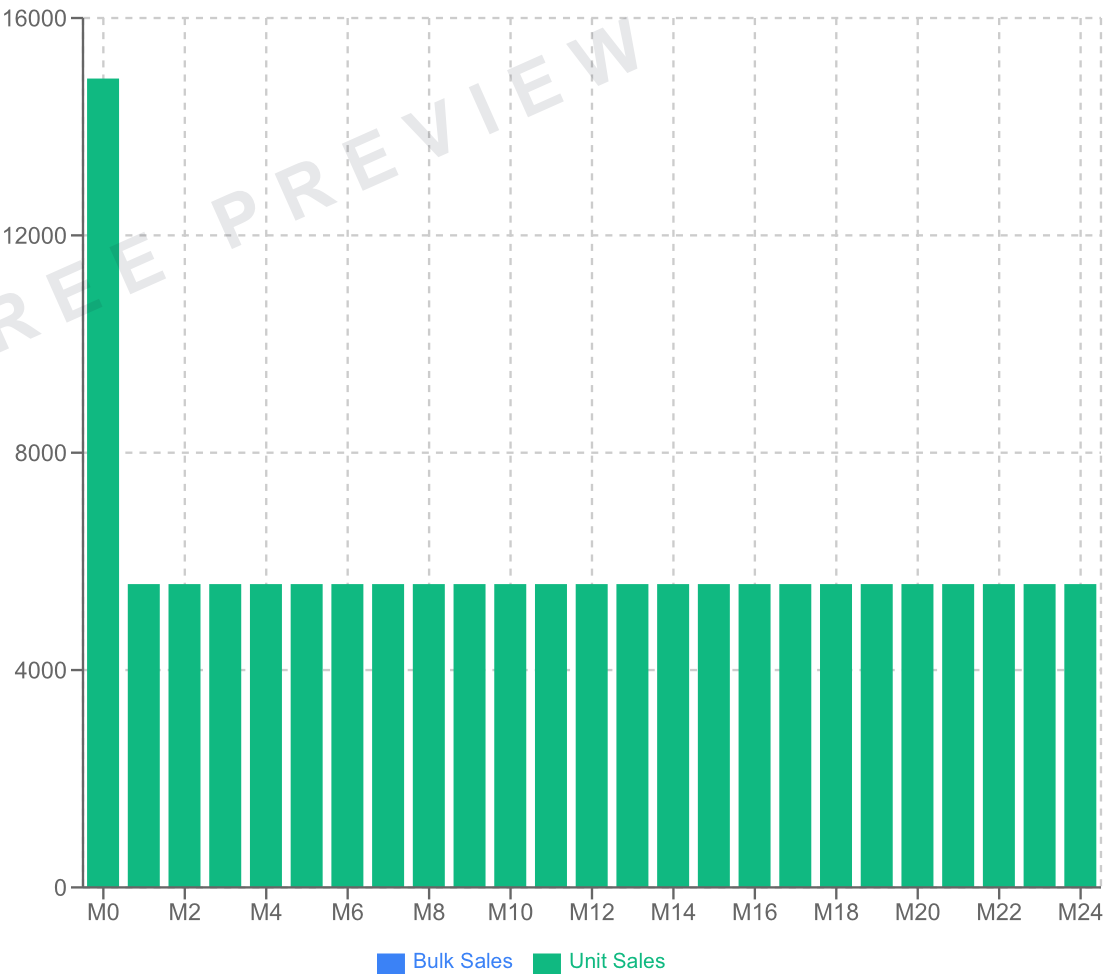
Sales & Revenues Assumption

Average selling price of CNY 1400/sqft on 170, 850 sqft saleable area drives gross sales.

Buyer mix and payment plan assumptions shape monthly cash inflow profile.

Gross-to-net deductions include commission, VAT, escrow fees, discounts, and defaults.

Sales Uptake & Mix Schedule (CNY'000)



Financial Analysis

Sales & Revenues Assumption

Gross-to-Net		Assumptions	
Gross Sales	166,600,000	Saleable BUA Ratio	85%
Total Deductions	17,742,900	Average Price	1400 CNY/sqft
Net Proceeds	148,857,100	Buyer Mix	40% cash / 60% mortgage
Broker Commission: 2,499,000 VAT: 14,994,000 Escrow Fees: 249,900 Sales Discounts: 0 Defaults: 0 Bulk Sales Discount: 0		Launch Offset	M6
		Default Rate	0%
		Cash Plan	20% down / 40% during / 40% handover
		Mortgage	20% down @ 80% LTV
		Deductions	1.5% broker + 9% VAT + 0.15% escrow
		Default & Bulk	0% default / 0% bulk

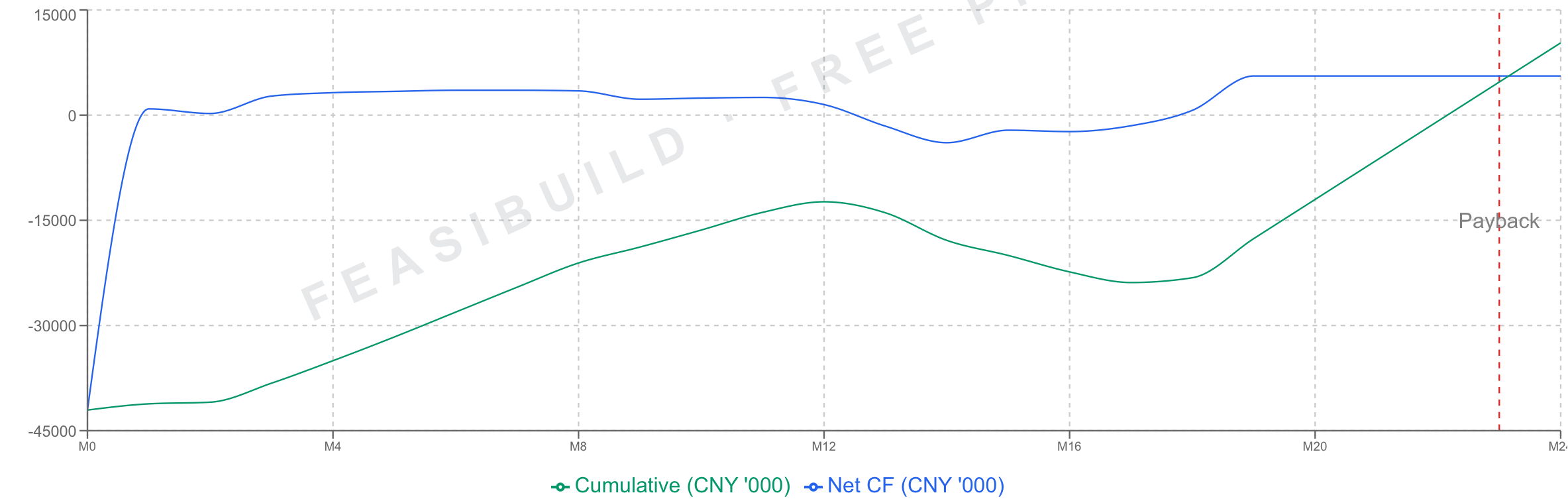
Financial Analysis

Unlevered net cash flow turns positive at month 23, supporting 20.58% project IRR.
Cumulative cash flow profile reflects construction outflow trough followed by sales recovery.
Peak negative cumulative position defines equity funding requirement.

Project IRR: 20.58%

Equity Multiple: 1.17x

Payback: M23



Financial Analysis

Revolving Credit Facility

Approved RCF of CNY 83.1M bridges construction funding gap.

IDC treatment of capitalized affects capitalized interest at completion.

Loan at completion of CNY 0 at 6% supports post-CP debt service.

How it works: The revolving credit facility bridges the construction funding gap between equity injections and escrow-released sales proceeds. IDC is capitalized per financing assumptions, with drawdowns timed to peak negative cumulative cash flow through month 18.

Approved Credit Facility	CNY 83.1M
Total Construction Loan Amount	CNY 6.2M
Loan Drawdown	S-curve construction drawdown
IDC Treatment	capitalized
Capitalized IDC	CNY 0
Interest Rate	6% p.a.
Loan Tenor	19 months (M0 to M18)

Financial Analysis

Escrow Withdrawal Configuration

- UAE escrow rules govern buyer payment collection and developer withdrawal timing.
- Progress-linked withdrawals align developer cash access with construction certification.
- Retention provisions protect buyers until handover and defect liability periods.

UAE — RERA Escrow Configuration

Certification Interval	3 months
Retention Percentage	0%
Release Timing	Practical completion + defect liability
Illustrative Retention	0
Escrow Setup Fee	CNY 5,000
Management Fee	0.0005% p.a.

UAE RERA Escrow Framework — Detailed Explanation

- Under the UAE Real Estate Regulatory Agency (RERA) escrow regulations, all buyer payments for off-plan properties must be deposited into a designated escrow account managed by an approved bank or financial institution. This framework is designed to protect buyer interests and ensure that developer funds are used exclusively for the specific project for which they were collected.
- The developer may withdraw funds from the escrow account based on construction progress certifications issued by the project engineer or consultant. In this project, certifications occur every 3 months, allowing periodic withdrawals aligned with actual construction milestones. A retention of 0% of the Gross Development Value (GDV) is held in escrow until Practical completion + defect liability, serving as a defect liability reserve to address any post-completion issues.

Financial Analysis

Post-Financing Cash Flows

Post-financing cash flows reflect debt drawdown, IDC, and equity injections through construction.

Sales inflows net of escrow releases fund debt repayment and equity distributions.

Yearly aggregation highlights path to positive levered cumulative NCF.

CNY'000	Year 1	Year 2	Year 2.6	Total
Cash Inflows (Escrow + Progress)	31,665	106,548	13,178	151,392
Cash Outflows (Total incl. Land)	90,152	48,401	0	138,553
Net Cash Flow (NCF)	-58,487	58,147	13,178	12,839
RCF (Revolving Credit Facility)				
RCF Drawdown	0	6,173	0	6,173
RCF Interest	0	123	0	123
RCF Repayment	0	6,173	0	6,173
RCF Commitment Fee	464	235	0	699
Preference Shares				
Pref Shares Drawdown	0	0	0	0
Pref Shares Dividend	0	0	0	0
Pref Shares Repayment	0	0	0	0
Capital Injections				
Capital - Land Injection	52,275	0	0	52,275
Capital - Cash Injection	18,829	0	0	18,829
NCF After Loan & Equity	12,152	57,789	13,178	83,120

Financial Analysis

IRR and Key Financing Metrics

Unlevered project IRR of 20.58% and levered equity IRR of 9.35% frame return expectations.

Equity multiple of 1.17x with payback at month 23 supports institutional underwriting.

TDC of CNY 138.6M against GDV of CNY 166.6M delivers development margin consistent with high-rise residential tower benchmarks.

UNLEVERED PROJECT IRR 20.58%	LEVERED EQUITY IRR 9.35%	EQUITY MULTIPLE 1.17x
PAYBACK PERIOD M23	MIN. DSCR 0.00x	LOAN AT COMPLETION CNY 0

TDC: CNY 138.6M · Loan at completion: CNY 0

Financial Analysis

Scenario Shocks

- 1. Sales Price (-10%)
- 2. Sales Velocity (-20%)
- 3. Construction Cost (+15%)
- 4. Construction Duration (+6 months)
- 5. Interest Rate (+200 bps)

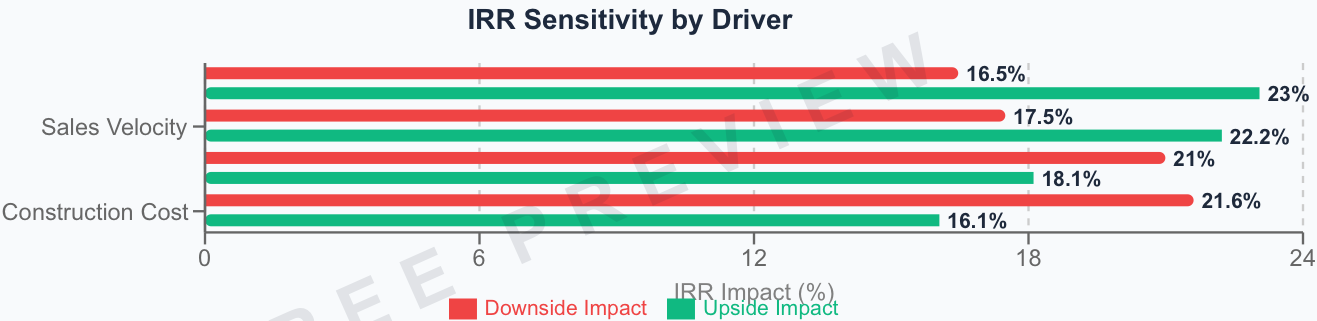


Chart shows the impact of individual variable shocks on Project IRR relative to Base Case.

Scenario Comparison

Metric	Downside Case	Base Case	Upside Case
Unlevered IRR	15.4%	20.6%	23.7%
Levered Equity IRR	6.5%	9.3%	11.2%
Equity Multiple	0.99x	1.17x	1.29x
Payback Period	2.4 yrs	1.9 yrs	1.7 yrs

Base, downside, and upside scenarios stress sales price, velocity, and construction cost assumptions.

IRR sensitivity highlights sales price and construction duration as primary return drivers.

Downside case preserves positive equity returns under moderate stress.

Financial Analysis

Scenario Summary

Metric	Downside Case	Base Case	Upside Case
Project IRR	20.6%	20.6%	23.7%
Equity IRR	9.4%	9.4%	11.2%
NPV	CNY 23.8M	CNY 23.8M	CNY 29.4M
Payback Period (yrs)	1.9	1.9	1.7
Equity Multiple	1.17x	1.17x	1.29x

Base Case Assumptions

Sales Price (psf): Avg. selling price CNY 1400/sqft
Sales Velocity: Sales velocity / absorption rate
Construction Cost: ±15% hard cost stress
Exit Cap Rate: N/A (sale stream)

Base Case Assumptions

Sales Price (psf): Avg. selling price CNY 1400/sqft
Sales Velocity: Sales velocity / absorption rate
Construction Cost: ±15% hard cost stress
Exit Cap Rate: N/A (sale stream)

Upside Assumptions

Sales Price (psf): Avg. selling price CNY 1400/sqft
Sales Velocity: Sales velocity / absorption rate
Construction Cost: ±15% hard cost stress
Exit Cap Rate: N/A (sale stream)

Scenario Analysis Commentary

Generating dynamic scenario analysis...